SCALE COUNTS

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Summary:

SCALE COUNTS Lower fees expected to boost business even as assets under mgmt rise: Shah MF Margins to Face Pressure; Vol to Compensate: ICICI Pru AMC Prashant Mahesh Mumbai: Mutual fund profitability could come under pressure with the size of assets under management growing, but a fall in unitholders' fe- es could compensate for this squee- ze, said Nimesh Shah, MD and CEO of ICICI Prudential Asset Manage- ment Company, whose 10,600 crore Initial Public Offer (IPO) is open for subscription. The issue, which will close on December 16 (Tuesday), was subscribed 2.11 times on Monday-- the second day of the offer. "As the size of the fund grows, mar gins are coming down, but with TER (total expense ratio) coming down, volumes will grow, and volumes will compensate for margins," said Shah in an interview "Lower charges will increase the probability of beating the index and will make your business more sustainable." According to Shah, the most impor tant financial parameter is operating profit. "Valuation in this industry is best viewed through the lens of opera- ting profit growth," he said. "We have diversified across mutual funds, port folio management services, alternati- ve investment funds and offshore advi As the size of the fund grows, margins are coming down, but with TER (total expense ratio) com- ing down, volumes will grow, and volumes will compensate for margins NIMESH SHAH MD and CEO, ICICI Prudential AMC sory, each with a different margin pro- file. The finalmargin is a mix of these." ICICI Prudential AMC, the country's second mutual fund with assets under management of 10.87 lakh crore, is the sixth in the 50-member strong in- dustry to tap the IPO market. HDFC Mutual, Aditya Birla AMC, UTI, Nip- pon and Canara Robeco are among the fund houses that have made their stock market debut in recent years The IPO values ICICI Prudential at 1.07 lakh crore. The market cap of HDFC Mutual Fund, the third largest with AUM of 8.8 lakh crore, stood at 1.11 lakh crore "Over the past several years, asset management businesses have grown at healthy rates while requiring mini- mal incremental capital," said Shah. "Businesses that deliver consistent growth without heavy capital deploy ment tend to command higher valuation multiples." Prudential Corporation Holdings, the joint venture partner in the com- pany will offload up to 14.41% of ICICI Prudential AMC's equity Since the issue is entirely an offer for sale (OFS) by Prudential, the company will not receive any proceeds from the IPO. Shah said Prudential's decision to sell a stake in the AMC in the IPO has come after remaining invested in the business since 1998. "They are monetising a part of their investment after 27 years and are sel- ling only a portion," he said. ICICI Bank will continue to be the majority shareholder of the firm with a 53% stake in the joint venture, said Shah. BUSINESS STRATEGY ICICI Prudential's focus on hybrid products has made it one of the big- gest asset managers in the category Its market share in the hybrid cate- gory is around 25% compared to 13.6% in equity assets and 13.6% ove rall. "Our strength in hybrid and as- set allocation-oriented strategies. has been built over multiple market cycles by focusing on risk-adjusted returns," said Shah. It is also sharpening its focus on the alternative investment business in- cluding equity-focused Portfolio Ma- nagement Services (PMS), Alternati- ve Investment Funds (AIFs), private credit, and office yield funds. Shah said between FY23 and FY25, al- ternative AUM has registered a com- pounded annual growth rate of 43.3%. Currently mutual funds account for 93% of its assets while alternatives ac- count for the balance 7%.

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Summary:

Hyundai Motor has unveiled the Crater Concept at the AutoMobility LA 2025. The model presents the concept of a compact off-road SUV designed to tackle tough terrain. The concept might go into production and is a preview of a future production model. It has been designed at the South Korean automaker's Hyundai America Technical Centre in Irvine, California. The Crater Concept features a compact monocoque structure. It is designed for versatility and can handle various terrains. The vehicle boasts steep approach and departure angles ideal for off-road adventures. It is equipped with 18-inch wheels and 33-inch off-road tires that provide excellent traction and ground clearance.